

## **The complaint**

Mr A is unhappy that AmTrust Europe Limited (AmTrust) declined his gadget insurance claim after his laptop was stolen while travelling abroad.

## **What happened**

Mr A had gadget insurance with AmTrust to cover his laptop. The policy provided cover for theft and loss. When checking in for his return flight from a trip abroad to visit family, he noticed his laptop was missing. Mr A reported it to airport security as theft, but because he needed to catch his flight, he left the matter with his family to follow up. Mr A claimed under his policy.

AmTrust declined the claim because he stored the laptop in the hold and because he'd travelled against Foreign and Commonwealth Office (FCO) advice.

Mr A complained to AmTrust because it had misunderstood where he stored his laptop and he had valid reasons for travelling.

Our investigator upheld Mr A's complaint. He agreed that AmTrust had misunderstood Mr A's report of where he stored the laptop and he didn't think AmTrust had fairly declined the claim under the exclusion of theft as a direct result of travelling against FCO advice.

AmTrust accepted that the policy exclusion for loss or theft while the laptop was stored in the hold didn't apply here. But it still thought the policy excluded cover for theft as a direct result of travelling against FCO advice.

The complaint was passed to me to decide.

## **What I've decided – and why**

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I've decided to uphold Mr A's complaint and I'll explain why.

I've listened to the call between AmTrust and Mr A during which they discussed the circumstances of his claim. AmTrust confirmed on the call that it had cleared up the misunderstanding about the laptop being stored in the cargo hold and it repeated that in its response to our service. I'm satisfied this point has been resolved so I won't discuss it further.

The remaining issue, then, is whether it was fair that AmTrust declined Mr A's claim for the reason it gave and whether that was in line with the policy terms and conditions.

Mr A said his laptop must've been stolen because he wouldn't have just lost it. The policy defines theft as follows:

### **Theft**

*Means the taking of the gadget(s) by a third party with the intention of permanently depriving you of it, using force, threat of violence or by pickpocket. Theft claims must also be accompanied by a valid Police crime reference report.*

*Loss property reports and reference numbers on their own will not be accepted in support of a Theft claim.*

*Please note: Theft and Loss needs to be reported to the local Police authorities and your network provider (if applicable) within 24 hours of discovering the incident.*

AmTrust declined Mr A's claim for theft of his laptop relying on the following policy exclusions:

### **General exclusions**

*We will not pay for:*

*33. Any claim for worldwide cover if your trip has been for a period of more than 120 days or if the claim occurs as a direct result of you travelling to a country where the Foreign and Commonwealth Office (FCO) have advised against all (but essential) travel.*

I've thought carefully about this. While Mr A travelled, seemingly, against FCO advice, I don't think that caused the theft of his laptop. The policy term is clear that the theft must be as a "direct result" of travelling against advice, not just "as a result". The additional word "direct" means there must be a close relationship between the advice against travel and the resulting theft. That doesn't seem to be the case, here, because the advice against travel was health-related which doesn't carry a direct relationship to the theft of Mr A's laptop. The risk of theft wasn't greater because of the health-related advice.

So, for that reason, I don't think AmTrust treated Mr A fairly when it declined his claim for theft due to the policy exclusion of travelling against the advice of FOC.

To resolve this matter, AmTrust should reconsider Mr A's claim under the remaining terms and conditions of the policy. I must make it clear to both parties that I'm not telling AmTrust to pay the claim. It declined Mr A's claim for a reason which I've decided wasn't fair. So AmTrust may look again at the policy to decide whether cover is available to Mr A.

### **My final decision**

For the reasons given above, my final decision is that I uphold the complaint and AmTrust Europe Limited must:

- reconsider Mr A's theft claim under his policy, in line with the remaining terms and conditions, without relying on general exclusion 33 - travelling against FCO advice.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr A to accept or reject my decision before 19 January 2022.

Debra Vaughan

**Ombudsman**